

The Federal Bank Limited

October 07, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Issuer rating	-	0.00	CARE AA+; Stable	Reaffirmed
Infrastructure bonds	SEBI	1,500.00	CARE AA+; Stable	Reaffirmed
Tier II bonds	SEBI	200.00	CARE AA+; Stable	Reaffirmed
Tier II bonds	SEBI	500.00	CARE AA+; Stable	Reaffirmed
Tier II bonds	SEBI	1,000.00	CARE AA+; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Tier-II Bonds under Basel III are characterised by a point-of-non-viability (PONV) trigger, due to which investor may suffer a loss of principal. PONV will be determined by the Reserve Bank of India (RBI), and is a point at which, the bank may no longer remain a going concern on its own, unless appropriate measures are taken to revive its operations, and thus enable it to continue as a going concern. In addition, difficulties faced by a bank should be such that these are likely to result in financial losses and raising Common Equity Tier-I capital of the bank should be considered as the most appropriate way to prevent the bank from turning non-viable.

Issuer Ratings: There is no instrument being rated, and hence, Regulator of the Instrument is not applicable. Rating scale and definitions are being followed as stipulated in Securities and Exchange Board of India (SEBI) Master Circular for Credit Rating Agencies (CRAs).

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has re-affirmed ratings assigned to issuer rating and long-term instruments of The Federal Bank Limited (FBL). Re-affirmation of ratings of FBL considers the bank's strong liability franchise and its diversified deposit base primarily comprising of retail deposits at ~85% as on June 30, 2026. Additionally, the bank maintains a meaningful non-resident deposits franchise with ~30% share of total deposits as on June 30, 2026. The bank has also diversified its advances with focus on few retail products, steadily improved its geographic diversification, and maintained stable profitability and asset quality. Ratings also factor in comfortable capitalisation levels supported by timely capital raise and accretion of profits.

However, ratings are constrained by the geographical concentration with Keralam, contributing a major portion advances and deposits, despite the fact that the share of the state has seen gradual reduction over the years. The bank's current account saving account (CASA) deposits as a percentage of total deposit also remains lower compared to peer private sector banks.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating actions/upgrade:

- Significant scale up of business, while increasing CASA proportion and maintaining asset quality parameters, and capitalisation in line with larger private sector banks.
- Significantly diversifying advances in terms of products and geography.

Negative factors: Factors that could individually or collectively lead to negative rating actions/downgrade:

- Declining profitability with return on total assets (ROTA) remaining less than 1% on a sustained basis.
- Weakening in capitalisation levels with capital cushion over minimum regulatory requirement remaining less than 2.5% on a sustained basis.
- Higher-than-expected deterioration in asset quality, with gross non-performing assets (GNPA) level increasing to above 5%.

Analytical approach: Standalone

Standalone assessment of FBL, CareEdge Ratings has also considered the likely support it may provide to its subsidiary (Fedbank Financial Services Limited).

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Outlook: Stable

The stable outlook factors in the expectation that the bank will continue its growth in advances and deposits with diversification in the loan book while maintaining comfortable capitalisation and steady asset quality and profitability.

Detailed description of key rating drivers

Key strengths

Long track record of operations with an established franchise

FBL is one of the oldest private sector banks in India with a long operating track record of over 90 years and has established itself as a strong franchise with a total network of 1,650 banking outlets as on June 30, 2026. The bank also has significant volumes of inward remittances from overseas, which generates stable fee income and deposits from non-resident Indian (NRI) customers. The bank's total business has been increasing year-on-year (y-o-y) to reach ₹5.98 lakh crore with advances of ₹2.77 lakh crore and deposits of ₹3.20 lakh crore as on June 30, 2026.

As on June 30, 2026, the bank's advances book grew 15% y-o-y, with the retail to wholesale mix at 53:47. Wholesale advances consist of corporate and commercial banking, whereas retail includes segments, such as gold loans, agriculture, business banking (micro, small and medium enterprise [MSME]), CV/CE financing, microfinance institution MFI, and retail loans, with subsegments, such as housing loans, loan against property (LAP), auto loans, credit cards, and personal loans. Going forward, the bank will continue to focus on retail loans with unsecured loans (credit cards, personal loans, MFI) being capped at 10% of advances.

The bank's deposits grew 11% y-o-y as on June 30, 2026. The bank's CASA deposits as a percentage of total deposits, has improved (as on June 30, 2026: 32.23%; March 31, 2026: 33.27%; and March 31, 2025: 30.23%). The bank's retail plus term deposits up to ₹3 crore of the bank constituted 85% of total deposits as on June 30, 2026; and CASA deposits are low cost, which provides a cost advantage over mid-sized peers, who have been increasing CASA deposits by offering higher interest rates. A sizeable portion of the bank's total deposits are non-resident deposits, constituting ~30% of the total deposits as on June 30, 2026. Going forward, the bank's ability to sustain its low-cost retail deposit franchise will remain a key monitorable.

Stable profitability parameters

The bank's net interest income (NII) and pre-provisions operating profit (PPOP) in FY26, stood at ₹10,657 crore and ₹7,206 crore with y-o-y growth of 13% and 18%, respectively. FBL's NIM to average total assets remained stable in FY26 were 2.89% (PY: 2.88%).

The yield on advances for FBL is lower than some peer private banks due to composition of its advances book, which consists of 47% of wholesale book, which in turn comprises high rated corporates. The bank's retail advances too have lower proportion of high yielding unsecured book, resulting in moderate net interest margin (NIM), despite having relatively lower cost of funds. The bank also has relatively modest fee income as it offers limited number of products and services than larger private banks. FBL has been consistently profitable over a long period and has demonstrated ability to navigate through cycles.

Operating expenses rose by 10%, however, cost to income ratio improved marginally from 54.02% in FY25 to 52.27% in FY26, due to increased efficiency. The bank's provisions increased by 151% y-o-y in FY26, due to conservative provisioning approach and additional ₹480 crore of management overlays, has strengthen provisioning ahead of the Expected Credit Loss (ECL) transition, resulting in increase in credit cost 0.22% of average total assets in FY25 to 0.50% in FY26. Further, ROTA declined to 1.12% in FY26 against 1.23% in FY25. FBL reported ROTA of 1.21% in Q1FY27 compared to 0.98% in Q1FY26.

Hence, the bank's ability to manage risks, grow mid-yielding advances, and mobilise low-cost deposits will remain critical to improving its return ratios.

Comfortable capitalisation levels

The bank continues to be adequately capitalised by maintaining adequate cushion over the minimum regulatory requirement supported by consistent internal accruals and equity infusions. In FY26, the bank raised capital by way of preferential allotment on a private placement basis to (Blackstone affiliate) Asia II Topco XIII Pte. Ltd., on receipt of 25%, aggregating to ₹1,549.13 crore and remaining 75% is expected to come during next year. The bank had raised equity capital twice in FY24, ₹3,040 crore in July 2023 through qualified institutional placements (QIP) and ₹959 crore in October 2023, through preferential allotment to IFC to augment its capital base. FBL reported a total capital adequacy ratio (CAR) at 16.97% (March 31, 2026: 17.25% and March 31, 2025: 16.40%) and Tier-I CAR/CET I Ratio of 15.89% (March 31, 2026: 15.93% and March 31, 2025: 15.04%), as on June 30, 2026.

CareEdge Ratings expects the bank to maintain a Tier-I CAR over 12% and a total CAR over 13% and raise timely capital, when required.

Stable asset quality

FBL has stringent underwriting standards, which has helped the bank to maintain stable asset quality over period of time. The bank's GNPA ratio and net NPA (NNPA) ratio stood at 1.52% and 0.18% as on June 30, 2026 (March 31, 2026: 1.62% and 0.20%) compared to 1.84% and 0.44% as on March 31, 2025. The slippages ratio largely remained stable (Q1FY27: 0.60%, FY26: 0.93%, FY25:0.89%). Segment-wise, GNPA's were higher in the agriculture and microfinance (2.41%), business banking (SME loans below ₹10 crore; 3.58%;), followed by CV/ CE (2.39%), and retail (2.19%). The bank's provision coverage ratio (PCR) (excluding TWO) stood at 87.37% as on June 30, 2026. NNPA to net worth ratio stood at 1.26% as on June 30, 2026 (March 31, 2026: 1.36%) compared to 3.10% as on March 31, 2025. Gross stressed assets and net stressed to net worth stood at 2.33% and 3.84% as on June 30, 2026, compared to 2.44% and 6.75% as on March 31, 2025.

CareEdge Ratings will continue to monitor the bank's ability to maintain stable asset quality as it expands its advances portfolio.

Key weaknesses

Geographic concentration in advance and deposits portfolio

The bank has an established presence in south Indian states with almost 70% banking outlets, Keralam being the highest with 38% of overall banking outlets strength as on June 30, 2026. CareEdge Ratings notes that the majority incremental banking outlets additions are outside Keralam to improve on geographical diversification front.

The percentage of business in the form of advances coming from Keralam continues to remain high at ~28%, followed by Maharashtra at 22%, and Tamil Nadu at 15%, with top three states combined contributing ~65% of advances as on June 30, 2026. In the last few years, the bank has been expanding geographically outside its home state and going forward it plans to add new branches in metro cities, the concentration of loans will gradually reduce. On the deposits side, ~59% of the total deposits are from Keralam, followed by Maharashtra (12%) and Karnataka (6%). With the bank's presence increasing in other Indian states, the deposit's profile is expected to improve gradually.

Liquidity: Adequate

FBL's liquidity profile remained adequate with no negative cumulative mismatches in time buckets up to two months per asset liability maturity (ALM) statement as on June 30, 2026. FBL's liquidity coverage ratio (LCR) and net stable funding ratio (NSFR) remained comfortable at 117.19% and 129.04%, respectively, for quarter ended June 30, 2026, against the minimum regulatory requirement of 100%. The bank has access to systemic liquidity by way of Reserve Bank of India's (RBI's) Liquidity Adjustment Facility (LAF) and Marginal Standing Facility (MSF) schemes.

Environment, social, and governance (ESG) risks

As a service-oriented institution, FBL has limited direct environmental exposure; however, climate and environmental risks could indirectly affect the bank through its lending portfolio. The bank has a Board-approved ESG policy and continues to expand its green portfolio, which stood at ₹11,448 crore as on June 30, 2026. It has also undertaken sustainability initiatives, such as solar power generation, water conservation, and increasing the share of green-certified premises.

FBL places significant emphasis on employee diversity, financial inclusion, and customer protection. Women accounted for 41% of the workforce in June 2026, while the bank has supported ~15.67 lakh women entrepreneurs through its BC channel. Given the increasing digitisation of banking services, cybersecurity, and data protection remain key focus areas, as major breach or customer data compromise could adversely affect the bank's reputation and regulatory standing.

FBL is led by an experienced management team headed by KVS Manian, Managing Director and Chief Executive Officer (MD & CEO). The bank has a 10-member Board, with 70% independent directors. ESG initiatives are monitored through a dedicated ESG Committee chaired by the MD & CEO.

Applicable criteria

[Definition of Default](#)

[Issuer Rating](#)

[Rating Outlook and Rating Watch](#)

[Banks](#)

[Financial Ratios - Financial Sector](#)

[Rating Basel III - Hybrid Capital Instruments issued by Banks](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Banks	Private sector bank

FBL is a mid-sized private sector bank with a wide distribution network of 1,650 banking outlets and 2,135 automated teller machines (ATMs)/recyclers as on June 30, 2026. The bank's share holding pattern is well diversified with shares held by mutual funds (37%), foreign institutional investors (27%), corporate (2%), and others (33%) as on June 30, 2026. FBL's total business stood at ₹5.98 lakh crore with advances of ₹2.77 lakh crore and deposits of ₹3.20 lakh crore as on June 30, 2026.

Particulars (₹ crore)	March 31, 2024 (A)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	25,268	30,167	32,136	8,287
Profit after tax (PAT)	3,721	4,052	4,117	1,177
Total assets	3,08,307	3,49,000	3,87,516	3,93,381
Net interest margin (NIM) (%)	2.92	2.88	2.89	3.02
Gross non-performing assets (NPA) (%)	2.13	1.84	1.62	1.52
Net NPA (%)	0.60	0.44	0.20	0.18
Capital adequacy ratio (CAR) (%)	16.13	16.40	17.25	16.97

A: Audited; UA: Unaudited; Note: These are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Bonds-Infrastructure Bonds	SEBI	Simple	INE171A08057	12-Nov-2024	7.76	12-Nov-2032	1500.00	CARE AA+; Stable
Bonds-Tier II Bonds	SEBI	Complex	Proposed	-	-	-	5.00	CARE AA+; Stable
Bonds-Tier II Bonds	SEBI	Complex	INE171A08040	29-Mar-2023	8.84	29-Mar-2033	995.00	CARE AA+; Stable
Bonds-Tier II Bonds	SEBI	Complex	INE171A08032	20-Jan-2020	8.20	20-Jan-2032	500.00	CARE AA+; Stable
Bonds-Tier II Bonds	SEBI	Complex	INE171A08032	20-Jan-2020	8.20	20-Jan-2032	200.00	CARE AA+; Stable
Issuer Rating-Issuer Ratings	-		-	-	-	-	0.00	CARE AA+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Bonds-Tier II Bonds	LT	200.00	CARE AA+; Stable	-	1)CARE AA+; Stable (17-Oct-25)	1)CARE AA+; Stable (21-Oct-24) 2)CARE AA+; Stable (05-Aug-24)	1)CARE AA+; Stable (06-Oct-23)
2	Bonds-Tier II Bonds	LT	500.00	CARE AA+; Stable	-	1)CARE AA+; Stable (17-Oct-25)	1)CARE AA+; Stable (21-Oct-24) 2)CARE AA+; Stable (05-Aug-24)	1)CARE AA+; Stable (06-Oct-23)

3	Bonds-Tier II Bonds	LT	1000.00	CARE AA+; Stable	-	1)CARE AA+; Stable (17-Oct-25)	1)CARE AA+; Stable (21-Oct-24) 2)CARE AA+; Stable (05-Aug-24)	1)CARE AA+; Stable (06-Oct-23)
4	Issuer Rating-Issuer Ratings	LT	0.00	CARE AA+; Stable	-	1)CARE AA+; Stable (17-Oct-25)	1)CARE AA+; Stable (21-Oct-24) 2)CARE AA+; Stable (05-Aug-24)	-
5	Bonds-Infrastructure Bonds	LT	1500.00	CARE AA+; Stable	-	1)CARE AA+; Stable (17-Oct-25)	1)CARE AA+; Stable (21-Oct-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)**Annexure-5: List of entities consolidated**

Sr No	Name of the entity	Extent of consolidation	Rationale for consolidation
1	Fedbank Financial Services Ltd	Full	Subsidiary

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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